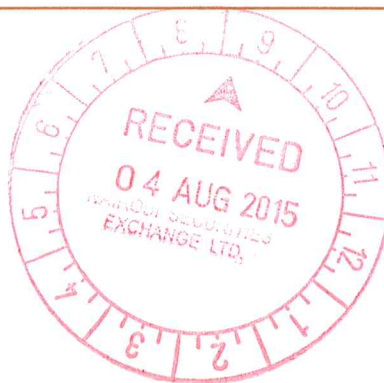


August 4<sup>th</sup> 2015

Geoffrey Odundo  
The Chief Executive Officer  
Nairobi Securities Exchange Limited  
The Exchange  
55 Westlands Road  
P.O Box 43633 – 00100 (GPO)  
**NAIROBI, KENYA**



Dear Sir

**RE: UNAUDITED FINANCIAL STATEMENT OF EQUITY GROUP HOLDINGS LIMITED AND SUBSIDIARIES FOR THE PERIOD ENDED 30<sup>TH</sup> JUNE 2015**

Please find attached the unaudited financial statements for the period ended 30<sup>th</sup> June 2015 for your information and records.

The same have received the approval of the Central Bank of Kenya and the Group Board of Directors.

Kindly revert to the undersigned incase of any clarification/further information.

Yours faithfully,



**Dr. James Mwangi, CBS**  
**Managing Director & CEO**

Encls.



# EQUITY GROUP HOLDINGS LIMITED (FORMERLY EQUITY BANK LIMITED)

## UN-AUDITED FINANCIAL STATEMENTS AND OTHER DISCLOSURES AS AT 30TH JUNE 2015



### STATEMENT OF FINANCIAL POSITION AS AT

| STATEMENT OF FINANCIAL POSITION AS AT                              | BANK               |                    |                    |                    |                   | COMPANY           |                   |                   |                   |                   | GROUP CONSOLIDATED |                    |                    |        |  |
|--------------------------------------------------------------------|--------------------|--------------------|--------------------|--------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|--------------------|--------------------|--------------------|--------|--|
|                                                                    | 30th June 2014     | 31st Dec 2014      | 31st Mar 2015      | 30th June 2015     | 31st Dec 2015     | 30th June 2015    | 30th June 2015    | 30th June 2015    | 30th June 2015    | 31st Dec 2015     | 31st Mar 2016      | 30th June 2016     |                    |        |  |
|                                                                    | Shs. '000'         | Shs. '000'         | Shs. '000'         | Shs. '000'         | Shs. '000'        | Shs. '000'        | Shs. '000'        | Shs. '000'        | Shs. '000'        | Shs. '000'        | Shs. '000'         | Shs. '000'         |                    |        |  |
|                                                                    | (Un-Audited)       | (Audited)          | (Un-Audited)       | (Un-Audited)       | (Audited)         | (Un-Audited)      | (Un-Audited)      | (Un-Audited)      | (Un-Audited)      | (Audited)         | (Un-Audited)       | (Un-Audited)       |                    |        |  |
| <b>A. ASSETS</b>                                                   |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 1. Cash (both Local & foreign)                                     | 6,910,765          | 5,213,116          | 8,372,318          | 8,372,318          | 8,372,318         | 10,501,100        | 10,501,100        | 10,501,100        | 10,501,100        | 10,501,100        | 12,725,311         | 12,725,311         | 12,725,311         |        |  |
| 2. Balances due from central Bank of Kenya                         | 8,671,712          | 6,103,763          | 11,746,519         | 8,866,461          | -                 | -                 | -                 | -                 | -                 | -                 | 12,725,311         | 11,746,519         | 8,866,461          |        |  |
| 3. Kenya Government and other securities held for dealing purposes | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 4. Financial Assets at fair value through profit and loss          | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 5. Investment Securities:                                          |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| a) Held to Maturity: (a+b)                                         | 33,880,413         | 34,454,815         | 35,618,234         | 35,875,470         | -                 | -                 | -                 | -                 | -                 | -                 | 48,349,008         | 48,911,563         | 50,619,703         |        |  |
| i. Kenya Government securities                                     | 22,349,019         | 21,389,050         | 20,712,491         | 21,045,442         | -                 | -                 | -                 | -                 | -                 | -                 | 33,893,144         | 34,890,897         | 33,780,463         |        |  |
| ii. Other securities                                               | 11,531,393         | 13,065,765         | 14,905,743         | 14,830,028         | -                 | -                 | -                 | -                 | -                 | -                 | 14,455,864         | 14,020,666         | 16,839,240         |        |  |
| b) Available for sale: (a+b)                                       | 11,531,393         | 13,244,745         | 14,905,543         | 14,830,028         | -                 | -                 | -                 | -                 | -                 | -                 | 13,753,357         | 13,210,111         | 15,106,712         |        |  |
| i. Kenya Government securities                                     | 11,531,393         | 13,244,745         | 14,905,543         | 14,830,028         | -                 | -                 | -                 | -                 | -                 | -                 | 11,531,393         | 12,660,745         | 14,923,575         |        |  |
| ii. Other securities                                               | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 6. Deposits and balances due from local banking institutions       | 6,688,800          | 10,166,432         | 8,859,356          | 10,666,340         | 8,417,995         | 1,752,996         | 1,752,996         | 1,752,996         | 1,752,996         | 1,752,996         | 221,944            | 211,346            | 207,145            |        |  |
| 7. Deposits and balances due from banking institutions abroad      | 5,101,859          | 6,758,072          | 11,488,194         | 10,226,455         | -                 | -                 | -                 | -                 | -                 | -                 | 10,501,100         | 10,440,583         | 12,101,494         |        |  |
| 8. Tax recoverable                                                 | -                  | -                  | -                  | 234,786            | -                 | -                 | -                 | -                 | -                 | -                 | -                  | 162,306            | 123,483            | 76,758 |  |
| 9. Loans and advances to customers (net)                           | 165,138,876        | 187,976,229        | 195,503,777        | 205,249,347        | -                 | -                 | -                 | -                 | -                 | -                 | 186,513,517        | 214,170,424        | 224,756,281        |        |  |
| 10. Balances due from banking institutions in the group            | 1,690,995          | 1,039,752          | 1,666,550          | 2,109,290          | -                 | -                 | -                 | -                 | -                 | -                 | 139,005            | 265,835            | 188,903            |        |  |
| 11. Investments in associates                                      | 1,113,049          | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | 1,623,417          | -                  | -                  |        |  |
| 12. Investments in subsidiary companies                            | 10,283,489         | -                  | -                  | -                  | 54,799,197        | 54,799,197        | 54,799,197        | 54,799,197        | 54,799,197        | 54,799,197        | -                  | -                  | -                  |        |  |
| 13. Investments in joint ventures                                  | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 14. Investment properties                                          | 8,494              | 8,494              | 8,494              | 8,494              | -                 | -                 | -                 | -                 | -                 | -                 | 8,494              | 8,494              | 8,494              |        |  |
| 15. Property and equipment                                         | 6,655,049          | 7,383,458          | 8,175,298          | 8,549,487          | -                 | -                 | -                 | -                 | -                 | -                 | 9,474,139          | 10,528,298         | 11,356,247         |        |  |
| 16. Prepaid lease rentals                                          | 4,068              | 4,065              | 4,034              | 4,022              | -                 | -                 | -                 | -                 | -                 | -                 | 159,133            | 106,040            | 159,774            |        |  |
| 17. Intangible assets                                              | 2,266,200          | 2,774,689          | 2,810,561          | 3,502,642          | -                 | -                 | -                 | -                 | -                 | -                 | 3,749,326          | 3,424,894          | 4,288,699          |        |  |
| 18. Deferred tax asset                                             | 701,348            | 2,269,352          | 2,269,352          | 2,269,352          | -                 | -                 | -                 | -                 | -                 | -                 | 763,708            | 2,573,932          | 3,098,343          |        |  |
| 19. Retirement benefit asset                                       | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 20. Other assets                                                   | 11,099,590         | 11,783,110         | 14,365,999         | 22,290,280         | -                 | -                 | -                 | -                 | -                 | -                 | 13,890,721         | 17,566,097         | 26,989,351         |        |  |
| <b>21. TOTAL ASSETS</b>                                            | <b>260,214,926</b> | <b>276,115,727</b> | <b>300,888,650</b> | <b>318,183,426</b> | <b>63,217,192</b> | <b>56,716,567</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>302,915,330</b> | <b>344,571,649</b> | <b>400,993,037</b> |        |  |
| <b>B. LIABILITIES</b>                                              |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 22. Balances due to Central Bank of Kenya                          | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 23. Customer deposits                                              | 177,448,518        | 202,486,759        | 224,626,787        | 236,401,364        | -                 | -                 | -                 | -                 | -                 | -                 | 214,534,750        | 245,363,135        | 276,754,774        |        |  |
| 24. Deposits and balances due to Local banking institutions        | 363,128            | 199,134            | 1,412,173          | 1,306,796          | -                 | -                 | -                 | -                 | -                 | -                 | 363,128            | 199,133            | 1,412,173          |        |  |
| 25. Deposits and balances due to Foreign banking institutions      | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 26. Other money market deposits                                    | 56,307             | 336,134            | 18,614             | 5,074,000          | -                 | -                 | -                 | -                 | -                 | -                 | 1,155,037          | 336,184            | -                  |        |  |
| 27. Borrowed funds                                                 | 27,303,900         | 29,745,328         | 25,349,439         | 22,276,115         | -                 | -                 | -                 | -                 | -                 | -                 | 29,905,810         | 26,179,444         | 22,033,576         |        |  |
| 28. Balances due to group companies                                | -                  | -                  | -                  | -                  | 420,000           | 441,332           | 846,083           | 846,083           | 846,083           | 846,083           | 29,905,810         | 26,179,444         | 22,033,576         |        |  |
| 29. Tax payable                                                    | -                  | -                  | 1,613,821          | -                  | 460,935           | 460,935           | 64,737            | 64,737            | 64,737            | 64,737            | 462,900            | 2,210,571          | 376,267            |        |  |
| 30. Dividends payable                                              | 28,442             | -                  | -                  | -                  | 22,677            | 65,018            | 24,446            | 24,446            | 24,446            | 24,446            | 22,677             | 65,018             | 24,446             |        |  |
| 31. Deferred tax liability                                         | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | 1,162              | 1,162              |        |  |
| 32. Retirement benefit liability                                   | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 33. Other liabilities                                              | 3,000,726          | 3,617,026          | 3,602,903          | 5,459,071          | -                 | -                 | -                 | -                 | -                 | -                 | 4,198,535          | 4,483,963          | 7,483,528          |        |  |
| <b>34. TOTAL LIABILITIES</b>                                       | <b>208,221,021</b> | <b>236,382,383</b> | <b>256,423,537</b> | <b>270,517,346</b> | <b>903,612</b>    | <b>967,285</b>    | <b>935,266</b>    | <b>935,266</b>    | <b>935,266</b>    | <b>935,266</b>    | <b>249,602,403</b> | <b>280,795,953</b> | <b>311,606,128</b> |        |  |
| <b>35. SHAREHOLDERS' FUNDS</b>                                     |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 35. Paid up/Assigned capital                                       | 1,851,388          | 30,000,000         | 30,000,000         | 30,000,000         | 1,851,388         | 1,851,388         | 1,851,388         | 1,851,388         | 1,851,388         | 1,851,388         | 1,851,388          | 1,851,388          | 1,851,388          |        |  |
| 36. Share premium/(discount)                                       | 12,161,021         | 9,733,344          | 9,964,132          | 9,964,132          | 12,161,021        | 12,161,021        | 12,161,021        | 12,161,021        | 12,161,021        | 12,161,021        | 12,161,021         | 12,161,021         | 12,161,021         |        |  |
| 37. Revaluation reserve                                            | (754,895)          | -                  | (754,895)          | (754,895)          | (754,895)         | (754,895)         | (754,895)         | (754,895)         | (754,895)         | (754,895)         | (754,895)          | (754,895)          | (754,895)          |        |  |
| 38. Retained earnings/ Accumulated losses                          | 38,157,814         | (769,212)          | 3,766,199          | 7,642,299          | 41,636,172        | 41,736,873        | 41,743,523        | 40,267,625        | 43,054,995        | 43,054,995        | 47,248,075         | 51,556,661         | 51,556,661         |        |  |
| 39. Statutory Loan Loss reserve                                    | 578,577            | 769,212            | 769,212            | 769,212            | -                 | -                 | -                 | -                 | -                 | -                 | 966,203            | 972,825            | 972,825            |        |  |
| 40. Other Reserves                                                 | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| 41. Proposed dividends                                             | -                  | -                  | -                  | -                  | 6,664,999         | -                 | -                 | -                 | -                 | -                 | 6,664,999          | -                  | -                  |        |  |
| 42. Capital grants                                                 | -                  | -                  | -                  | -                  | -                 | -                 | -                 | -                 | -                 | -                 | -                  | -                  | -                  |        |  |
| <b>43. TOTAL SHAREHOLDERS' FUNDS</b>                               | <b>51,993,905</b>  | <b>39,733,344</b>  | <b>44,245,113</b>  | <b>47,664,080</b>  | <b>62,313,580</b> | <b>55,749,282</b> | <b>55,755,932</b> | <b>53,312,727</b> | <b>63,775,496</b> | <b>63,775,496</b> | <b>60,919,002</b>  | <b>64,996,397</b>  | <b>64,996,397</b>  |        |  |
| <b>44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS</b>               | <b>260,214,926</b> | <b>276,115,727</b> | <b>300,888,650</b> | <b>318,183,426</b> | <b>63,217,192</b> | <b>56,716,567</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>56,691,198</b> | <b>302,915,330</b> | <b>344,571,649</b> | <b>400,993,037</b> |        |  |
| <b>STATEMENT OF COMPREHENSIVE INCOME</b>                           |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| <b>1. INTEREST INCOME</b>                                          |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 1.1 Loans and advances                                             | 13,202,200         | -                  | 7,299,480          | 14,916,088         | 27,585,823        | -                 | -                 | -                 | -                 | -                 | 14,739,885         | 30,999,140         | 16,964,392         |        |  |
| 1.2 Government securities                                          | 1,574,802          | -                  | 846,649            | 1,735,238          | 3,281,374         | -                 | -                 | -                 | -                 | -                 | 1,831,477          | 3,858,292          | 2,096,336          |        |  |
| 1.3 Deposits and placements with banking institutions              | 137,143            | -                  | 108,765            | 245,258            | 266,774           | -                 | -                 | -                 | -                 | -                 | 187,931            | 370,503            | 159,248            |        |  |
| 1.4 Other                                                          | 1,402              | -                  | 6,664              | 13,176             | 6,052             | 122,033           | 161,453           | 161,453           | 161,453           | 161,453           | 138,953            | 231                | 68,871             |        |  |
| <b>1.5 Total Interest Income</b>                                   | <b>14,915,547</b>  | <b>-</b>           | <b>8,261,558</b>   | <b>16,909,760</b>  | <b>31,140,023</b> | <b>122,033</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>16,971,022</b>  | <b>35,364,888</b>  | <b>19,226,418</b>  |        |  |
| <b>2. INTEREST EXPENSES</b>                                        |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 2.1 Customer deposits                                              | 1,692,529          | -                  | 1,166,440          | 2,528,520          | 3,534,022         | -                 | -                 | -                 | -                 | -                 | 2,249,466          | 4,666,426          | 1,447,317          |        |  |
| 2.2 Deposits and placements from banking institutions              | 7,327              | -                  | 20,033             | 56,927             | 34,416            | -                 | -                 | -                 | -                 | -                 | 19,610             | 72,690             | 31,270             |        |  |
| 2.3 Other Interest expense                                         | 660,648            | -                  | 363,221            | 664,677            | 1,412,016         | -                 | -                 | -                 | -                 | -                 | 687,308            | 1,452,935          | 357,836            |        |  |
| <b>2.4 Total Interest Expenses</b>                                 | <b>2,460,504</b>   | <b>-</b>           | <b>1,549,784</b>   | <b>3,250,144</b>   | <b>4,980,454</b>  | <b>-</b>          | <b>-</b>          | <b>-</b>          | <b>-</b>          | <b>-</b>          | <b>2,956,384</b>   | <b>6,192,051</b>   | <b>3,742,040</b>   |        |  |
| <b>3. NET INTEREST INCOME</b>                                      | <b>12,555,043</b>  | <b>-</b>           | <b>6,711,774</b>   | <b>13,659,616</b>  | <b>26,159,569</b> | <b>122,033</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>161,453</b>    | <b>14,014,638</b>  | <b>29,174,837</b>  | <b>15,504,378</b>  |        |  |
| <b>4. NON INTEREST INCOME</b>                                      |                    |                    |                    |                    |                   |                   |                   |                   |                   |                   |                    |                    |                    |        |  |
| 4.1 Fees and commissions income on loans & advances                | 2,293,113          | -                  | 1,184,083          | 2,455,950          | 4,918,631         | -                 | -                 | -                 | -                 | -                 | 2,438,734          | 5,214,734          | 2,653,537          |        |  |
| 4.2 Other Fees and commissions income                              | 3,377,444          | -                  | 1,934,852          | 3,866,308          | 7,497,093         | -                 | -                 | -                 | -                 | -                 | 8,841,541          | 2,420,698          | 4,864,393,         |        |  |